

Budgets





- **To achieve integrated acquisition of knowledge, skills, and positive attitude toward. budget as an important aspect in management process.**

OBJECTIVE

TEXTSTUDIO

- **At the end of this lecture, all participants will be able to:**
- **Define budget.**
- **Discuss purposes of budget.**
- **Plan steps of budgetary process.**
- **Estimate characteristics of an effective budget.**
- **Describe system for budget development.**
- **Differentiate between types of budget.**
- **Have positive attitude toward budget as an important aspect in management process.**

Definitions of key terms:

- **Budget:** It is a numerical description of expected income and planned expenditures for an organization for a specified period of time.

Budgeting: Primarily, the activity of preparing a budget is called budgeting. In many organizations, it is a separate department taking care of only the preparation and implementation of budgets.

Purposes of the budget:

- 1- To set operating cost limits; it quantifies plans.**
- 2-The budget can be a powerful instrument since it serves as a guide for nursing performance.**
- 3- Helps in allocation of personnel, supplies, supports services, and facilities.**



Functions of budgets:

1-Planning:

2-Coordination:

3-Motivation:

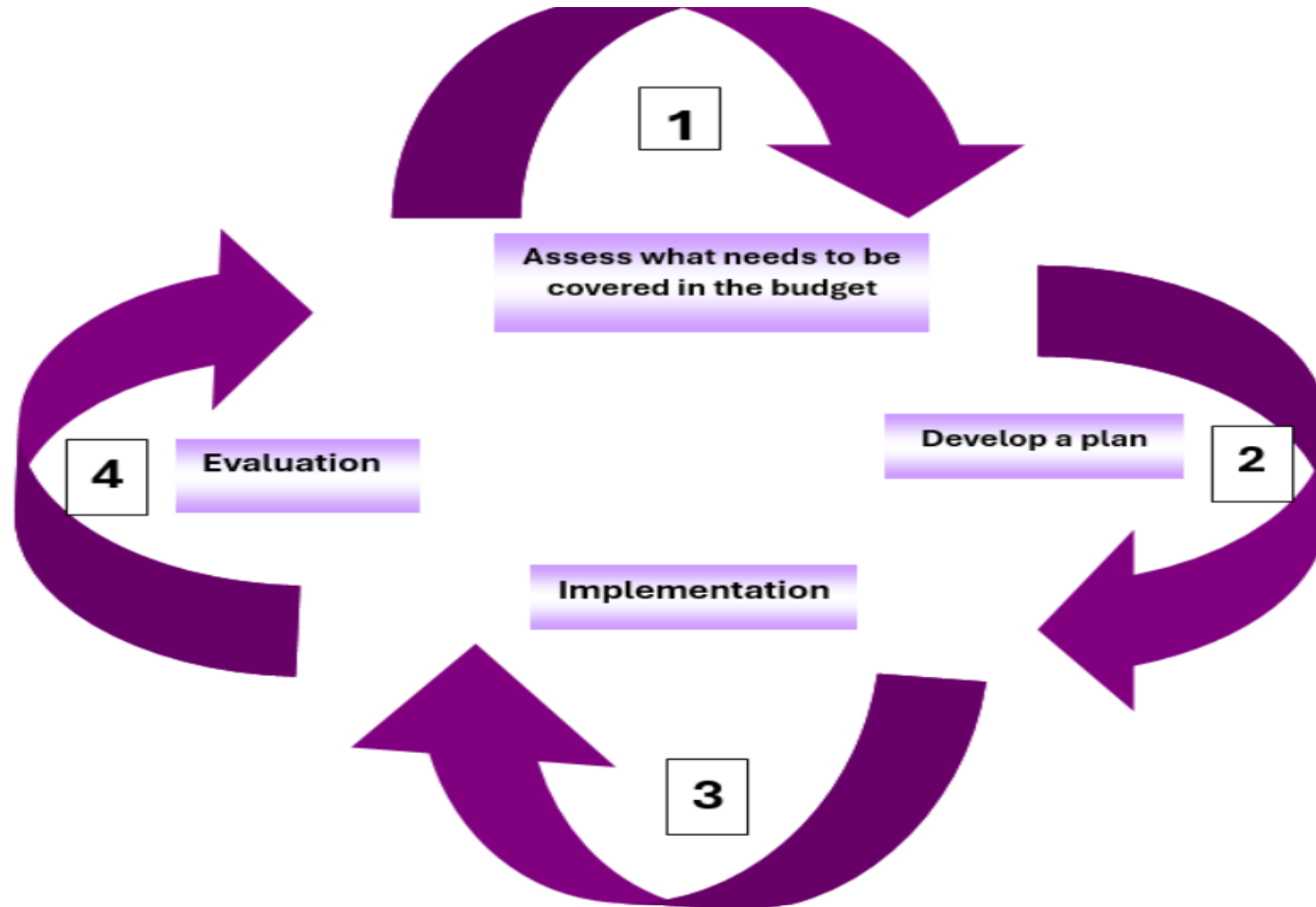
4-Control:

5-Communication:

Risks of not budgeting:

- 1. Not having an emergency fund**
- 2. An inability to expand operations or expand into a new market**
- 3. Not being able to secure investment dollars**
- 4. Potentially shutting down the company because it can not get out of debt**
- 5. Not making long-term commitments to customers, clients, vendors or suppliers, thereby straining business relationships**
- 6. An inability to secure loans or to make a large purchase that's necessary for the business.**

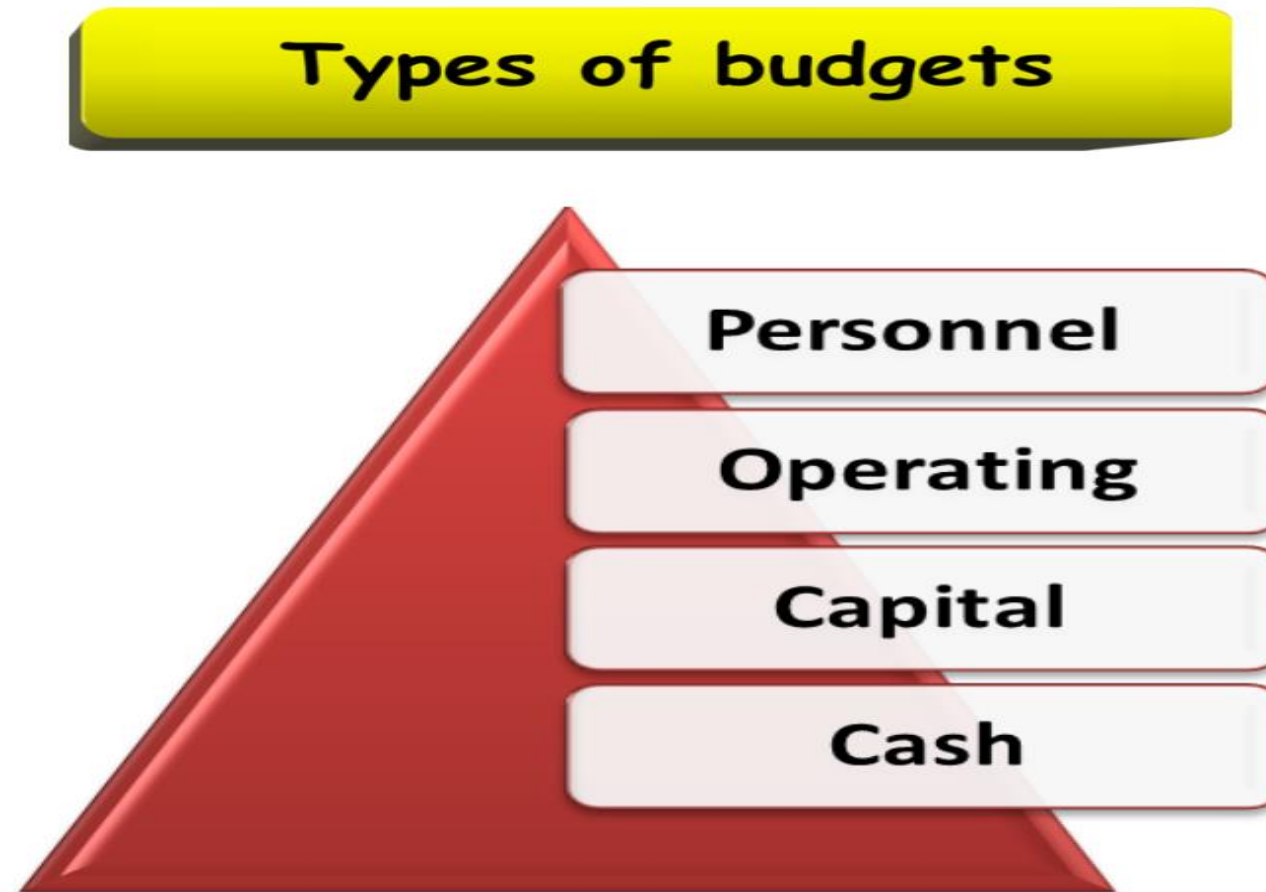
Steps in the budgetary process:



Characteristics of an effective budget:

- **The effective budget should be:**
 - 1. Based on the organizational objectives and standards.**
 - 2. Simple, flexible, balanced and economic.**
 - 3. Fair & objective.**
 - 4. Based on controllable factors.**
 - 5. Outcome oriented.**

Types of budgets



Cont.

1-Personnel budget:

- **Personnel budget is the largest budget in healthcare because it is labor-intensive, and it includes both productive time (actual working hours) and non-productive time (paid time not worked such as breaks, benefits, and leave), which must be closely monitored to avoid under- or over-staffing.**

Cont.

2-Operating budget:

- It reflects expenses that change in response to the volume of service. Included in this budget are such daily expenses as the cost of electricity, repair, maintenance & supplies.

3-Capital budget:

- Capital budgets plan for purchase of buildings or major equipment, which include equipment that has a long life (usually greater than five to seven years).

Cont.

4-Cash budget:

- **It is the life blood of any organization. It is important as the operating & capital budget.**
- **It is the operating plan for monthly cash receipts & disbursements.**
Organizational survival depends on an organization paying bills on time.

